

HERE ARE SOME OF THE RULES YOU NEED TO FOLLOW:

- 1 Plot the Renko charts in the default mode. Mark the long-term support and resistance levels you see.
- 2 Add the default RSI and Stochastic RSI on the Renko chart.
- 3 I will sell once the price is at the resistance levels and forms a Red brick while the RSI and Stochastic RSI are both indicating overbought market conditions and vice versa.
- 4 After selling, I will look for the corresponding price level and timeframe on the Candlestick chart for entering and placing the stoploss.
- 5 I will book profits at 1:3 risk to reward ratio minimum or if the conditions support, I can also trail my SL and ride the market trend.

Do not worry, let me show you some examples of this strategy:



Notice how the Renko bricks form a red candle at the marked resistance level. A potential reversal is also confirmed by the overbought RSI and Stochastic RSI reading. This is where I will sell. However, before entering, I will be looking at the Candlestick charts for getting the entry and stoploss levels.

So, I will look at the time and open a candlestick chart of the same underlying asset.

